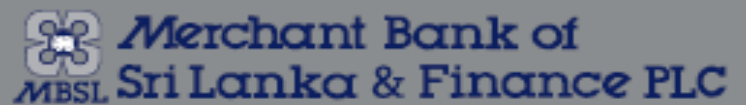


INTERIM FINANCIAL STATEMENTS

For the Period ended 30th June 2026

Rating 'A (lka)'



Co.Reg.No. PQ10

Merchant Bank of Sri Lanka Strengthens Capital Base Through A Rights Issue

"Merchant Bank of Sri Lanka & Finance PLC (MBSL) completed its Rights Issue in August 2026, raising Rs. 806 million in additional capital. The funds raised have further strengthened the Company's capital base and enhanced its capacity to support the expansion of its core business.

The strengthened capital position will enable MBSL to pursue its growth strategy while maintaining prudent capital management and financial resilience. The Company remains focused on deploying the additional capital effectively to achieve sustainable business growth and create long-term value for its shareholders."

Interim Financial Statements

Statement of Profit or Loss

	Company						Group					
	Quarter ended			Six months ended			Quarter ended			Six months ended		
	6/30/2026	6/30/2025	Change %	6/30/2026	6/30/2025	Change %	6/30/2026	6/30/2025	Change %	6/30/2026	6/30/2025	Change %
	LKR '000	LKR '000		LKR '000	LKR '000		LKR '000	LKR '000		LKR '000	LKR '000	
Income	2,025,601	1,908,007	6.2	4,181,822	3,607,109	15.9	2,094,772	2,034,402	3.0	4,387,600	3,882,912	13.0
Interest and similar income	2,116,090	1,655,835	27.8	4,190,672	3,273,629	28.0	2,151,081	1,709,128	25.9	4,267,228	3,381,171	26.2
Less: Interest and similar expenses	1,321,670	957,604	38.0	2,598,242	1,915,231	35.7	1,319,545	955,364	38.1	2,594,327	1,909,102	35.9
Net interest income	794,420	698,231	13.8	1,592,430	1,358,398	17.2	831,536	753,764	10.3	1,672,901	1,472,069	13.6
Fee and commission income	29,404	59,614	(50.7)	83,519	112,399	(25.7)	34,848	65,567	(46.9)	99,978	124,586	(19.8)
Less: Fee and commission expenses	12,497	23,072	(45.8)	20,379	43,994	(53.7)	11,427	21,136	(45.9)	18,222	40,483	(55.0)
Net fee and commission income	16,907	36,542	(53.7)	63,140	68,405	(7.7)	23,421	44,431	(47.3)	81,756	84,103	(2.8)
Insurance premium income	-	-	-	-	-	-	62,345	65,049	(4.2)	141,101	150,432	(6.2)
Net claims and benefits	-	-	-	-	-	-	(121,415)	(99,574)	(21.9)	(190,341)	(204,972)	7.1
Net gain/(loss) from trading	(38,812)	292,922	(113.2)	(27,689)	675,049	(104.1)	(38,812)	292,922	(113.2)	(27,689)	675,049	(104.1)
Net gain/(loss) on financial instruments at fair value through profit or loss	(90,772)	(123,982)	26.8	(171,335)	(501,992)	65.9	(90,345)	(123,450)	26.8	(171,634)	(501,622)	65.8
Other operating income	9,690	23,618	(59.0)	106,654	48,024	122.1	(24,345)	25,186	(196.7)	78,616	53,296	47.5
Total operating income	691,433	927,331	(25.4)	1,563,200	1,647,884	(5.1)	642,385	958,328	(33.0)	1,584,710	1,728,355	(8.3)
Less: Impairment charge/(reversal) from loans and other losses	80,630	(55,356)	245.7	74,084	(11,132)	765.5	80,630	(55,356)	245.7	74,084	(11,132)	765.5
Net operating income	610,803	982,687	(37.8)	1,489,116	1,659,016	(10.2)	561,755	1,013,684	(44.6)	1,510,626	1,739,487	(13.2)
Less: Operating expenses												
Personnel expenses	367,484	373,587	(1.6)	770,862	743,155	3.7	406,031	413,107	(1.7)	846,012	824,903	2.6
Depreciation and amortisation	85,197	71,795	18.7	167,583	139,735	19.9	93,027	80,843	15.1	184,306	157,767	16.8
Other operating expenses	205,857	197,055	4.5	419,514	406,580	3.2	238,483	239,286	(0.3)	500,808	479,709	4.4
Total operating expense	658,538	642,437	2.5	1,357,959	1,289,470	5.3	737,541	733,236	0.6	1,531,126	1,462,379	4.7
Profit/(loss) from operations	(47,735)	340,250	(114.0)	131,157	369,546	(64.5)	(175,786)	280,448	(162.7)	(20,500)	277,108	(107.4)
Less: Impairment charge/(reversal) from investment in Subsidiary companies	-	-	-	-	-	-	-	-	-	-	-	-
Profit/(loss) from operations after impairment from subsidiary investments	(47,735)	340,250	(114.0)	131,157	369,546	(64.5)	(175,786)	280,448	(162.7)	(20,500)	277,108	(107.4)
Less: Taxes on financial services	51,326	123,450	(58.4)	142,409	194,729	(26.9)	51,326	123,450	(58.4)	142,409	194,729	(26.9)
Profit/(loss) from operations after tax on financial services	(99,061)	216,800	(145.7)	(11,252)	174,817	(106.4)	(227,112)	156,998	(244.7)	(162,909)	82,379	(297.8)
Share of associate companies profit/(loss) before tax	-	-	-	-	-	-	12,108	17,745	(31.8)	40,810	33,207	22.9
Profit/(loss) before income tax	(99,061)	216,800	(145.7)	(11,252)	174,817	(106.4)	(215,004)	174,743	(223.0)	(122,099)	115,586	(205.6)
Less: Income tax expense/(reversal)	(16,198)	97,379	(116.6)	27,611	103,367	(73.3)	(12,570)	102,322	(112.3)	39,849	113,329	(64.8)
Profit/(loss) for the period	(82,863)	119,421	(169.4)	(38,863)	71,450	(154.4)	(202,434)	72,421	(379.5)	(161,948)	2,257	(7,274.9)
Profit/(loss) for the period attributable to:												
Equity holders of the parent	(82,863)	119,421	(169.4)	(38,863)	71,450	(154.4)	(163,383)	100,043	(263.3)	(111,993)	44,954	(349.1)
Non controlling interests	-	-	-	-	-	-	(39,051)	(27,622)	(41.4)	(49,956)	(42,697)	(17.0)
Profit/(loss) for the period	(82,863)	119,421	(169.4)	(38,863)	71,450	(154.4)	(202,434)	72,421	(379.5)	(161,948)	2,257	(7,275.0)
Earnings per share:												
Basic/Diluted earnings/(loss) per share (LKR)	(0.16)	0.23	(169.4)	(0.07)	0.14	(154.4)	(0.31)	0.19	(263.3)	(0.21)	0.09	(349.1)

Interim Financial Statements

Statement of Comprehensive Income

	Company						Group					
	Quarter ended			Six months ended			Quarter ended			Six months ended		
	6/30/2026	6/30/2025	Change %	6/30/2026	6/30/2025	Change %	6/30/2026	6/30/2025	Change %	6/30/2026	6/30/2025	Change %
	LKR '000	LKR '000		LKR '000	LKR '000		LKR '000	LKR '000		LKR '000	LKR '000	
Profit/(loss) for the period	(82,863)	119,421	(169.4)	(38,863)	71,450	(154.4)	(202,434)	72,421	(379.5)	(161,948)	2,257	(7,274.9)
Other comprehensive income/(expense) for the period												
Actuarial gains/(losses) on defined benefit plans	-	-	-	-	-	-	-	-	-	-	-	-
Fair value reserves (Financial investments at fair value through other comprehensive income):												
Gains/(Losses) on re-measuring financial investments at fair value through other comprehensive income	-	3,750	(100.0)	-	3,750	(100.0)	5,102	2,487	105.2	(7,479)	2,487	(400.7)
Other comprehensive income/(expense) before tax	-	3,750	(100.0)	-	3,750	(100.0)	5,102	2,487	105.2	(7,479)	2,487	(400.7)
Deferred tax (charge)/credit relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-	-	-	-
Other comprehensive income/(expense) for the period, net of tax	-	3,750	(100.0)	-	3,750	(100.0)	5,102	2,487	105.2	(7,479)	2,487	(400.7)
Total comprehensive income/(expense) for the period, net of tax	(82,863)	123,171	(167.3)	(38,863)	75,200	(151.7)	(197,332)	74,908	(363.4)	(169,427)	4,744	(3,671.3)
Total comprehensive income/(expense) attributable to:												
Equity holders of the parent	(82,863)	123,171	(167.3)	(38,863)	75,200	(151.7)	(160,637)	103,114	(255.8)	(116,017)	48,024	(341.6)
Non controlling interests	-	0	(100.0)	-	-	-	(36,695)	(28,206)	(30.1)	(53,410)	(43,280)	(23.4)
	(82,863)	123,171	(167.3)	(38,863)	75,200	(151.7)	(197,332)	74,908	(363.4)	(169,427)	4,744	(3,671.3)

Interim Financial Statements

Statement of Financial Position

as at	Company			Group		
	6/30/2026	12/31/2025 (Audited)	Change %	6/30/2026	12/31/2025 (Audited)	Change %
	LKR '000	LKR '000		LKR '000	LKR '000	
Assets						
Cash and cash equivalents	788,777	618,703	27.5	1,108,525	891,554	24.3
Placements with banks & financial institutions	-	-	-	456,786	452,254	1.0
Financial investments at fair value through profit or loss	5,854,505	7,634,038	(23.3)	5,871,291	7,652,964	(23.3)
Loans & receivables at amortised cost	38,666,533	39,585,583	(2.3)	38,667,843	39,586,838	(2.3)
Financial investments at fair value through other comprehensive income	54	54	-	109,980	126,834	(13.3)
Financial investments at amortised cost	5,070,140	4,425,177	14.6	5,552,127	5,051,559	9.9
Real Estate Stock	10,713	26,029	(58.8)	10,713	26,029	(58.8)
Investment in associate company	81,084	81,084	-	163,031	177,966	(8.4)
Investment in subsidiary	318,567	318,568	(0.0)	-	-	-
Property, equipment and right-of-use assets	843,425	1,080,743	(22.0)	890,159	1,139,639	(21.9)
Intangible assets	312,526	38,374	714.4	312,526	40,147	678.5
Deferred tax Assets	130,134	130,134	0.0	130,829	130,830	(0.0)
Other assets	416,015	449,308	(7.4)	762,686	884,192	(13.7)
Total assets	52,492,473	54,387,795	(3.5)	54,036,496	56,160,806	(3.8)
Liabilities						
Due to banks	10,837,452	14,889,904	(27.2)	10,840,118	14,894,488	(27.2)
Due to customers at amortised cost	34,174,849	31,792,758	7.5	34,005,940	31,620,482	7.5
Debt issued and borrowed funds at amortised cost	1,753,361	1,821,393	(3.7)	1,753,361	1,821,393	(3.7)
Insurance provision - life	-	-	-	556,856	539,669	3.2
Insurance provision - non life	-	-	-	454,630	572,437	(20.6)
Current tax liabilities	77,856	166,186	(53.2)	77,856	166,186	(53.2)
Other liabilities	1,116,247	1,159,257	(3.7)	1,499,555	1,543,426	(2.8)
Retirement benefits obligations	437,365	424,091	3.1	449,549	434,666	3.4
Total liabilities	48,397,130	50,253,589	(3.7)	49,637,865	51,592,747	(3.8)
Equity						
Stated capital	4,276,448	4,276,448	(0.0)	4,276,448	4,276,448	-
Retained earnings	(951,579)	(1,011,105)	5.9	(899,383)	(885,779)	(1.5)
OCI reserve	-	-	-	1,712	5,736	(70.2)
RLA Reserve	319,973	418,362	(23.5)	319,973	418,362	(23.5)
Statutory reserves	450,501	450,501	(0.0)	450,501	450,501	(0.0)
Total equity attributable to the parent	4,095,343	4,134,206	(0.9)	4,149,251	4,265,268	(2.7)
Non controlling interests	-	-	-	249,380	302,791	(17.6)
Total equity	4,095,343	4,134,206	(0.9)	4,398,631	4,568,059	(3.7)
	52,492,473	54,387,795	(3.5)	54,036,496	56,160,806	(3.8)
Commitments and contingencies	50,766	61,624	(17.6)	54,516	105,791	(48.5)
Net assets value per share (LKR)	7.81	7.88	(0.9)	7.91	8.13	(2.7)

These Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007

Information contained in these statements have been extracted from the unaudited Financial Statements of the Company unless indicated as "Audited".

(sgd.)

A. C. P. Ekanayake
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board by,

(sgd.)

A. M. A. Perera
Chairman

Colombo, Sri Lanka
13/Aug/2026

(sgd.)

W. P. R. P. H. Fonseka
Chief Executive Officer

(sgd.)

R. Dulani Fernando
Director

Interim Financial Statements

Statement of Changes in Equity

Company	Stated capital LKR ' 000	Statutory reserves LKR ' 000	OCI reserve LKR ' 000	RLA reserve LKR ' 000	Retained profits LKR ' 000	Total equity LKR ' 000
Balance as at 01st January 2025	4,276,448	392,265	(22,100)	424,622	(1,189,204)	3,882,031
Net profit/(loss) for the period	-	-	-	-	71,450	71,450
Other comprehensive income	-	-	3,750	-	-	3,750
Transfer to regulatory loss allowance reserve (RLAR)	-	-	-	(17,474)	17,474	-
Balance as at 30th June 2025	4,276,448	392,265	(18,350)	407,148	(1,100,280)	3,957,231
Balance as at 01st January 2026	4,276,448	450,501	-	418,362	(1,011,105)	4,134,206
Net profit/(loss) for the period	-	-	-	-	(38,863)	(38,863)
Other comprehensive income	-	-	-	-	-	-
Transfer to regulatory loss allowance reserve (RLAR)	-	-	-	(98,389)	98,389	-
Balance as at 30th June 2026	4,276,448	450,501	-	319,973	(951,579)	4,095,343

Group	Stated Capital LKR ' 000	Statutory reserves LKR ' 000	OCI reserve LKR ' 000	RLA reserve LKR ' 000	RR reserve LKR ' 000	Retained profits LKR ' 000	Non controlling interest LKR ' 000	Total equity LKR ' 000
Balance as at 01st January 2025	4,276,448	392,264	(22,206)	424,622	35,443	(940,832)	429,121	4,594,861
Net profit/(loss) for the period	-	-	-	-	-	44,954	(42,697)	2,257
Other comprehensive income	-	-	3,070	-	-	-	(583)	2,487
Transfer to regulatory loss allowance reserve (RLAR)	-	-	-	(17,474)	-	17,474	-	-
Balance as at 30th June 2025	4,276,448	392,264	(19,136)	407,148	35,443	(878,404)	385,841	4,599,606
Balance as at 01st January 2026	4,276,448	450,501	5,736	418,362	-	(885,779)	302,791	4,568,059
Net profit/(loss) for the period	-	-	-	-	-	(111,993)	(49,956)	(161,949)
Transfer to regulatory loss allowance reserve (RLAR)	-	-	-	(98,389)	-	98,389	-	-
Other comprehensive income	-	-	(4,024)	-	-	-	(3,455)	(7,479)
Balance as at 30th June 2026	4,276,448	450,501	1,712	319,973	-	(899,383)	249,380	4,398,631

Interim Financial Statements

Statement of Cash Flows

For the period ended 30th June

Cash flows from operating activities

	Company		Group	
	2026 LKR '000	2025 LKR '000	2026 LKR '000	2025 LKR '000
Profit before income tax	(11,252)	174,817	(122,099)	115,586
Adjustments for :				
Net Interest Income	(1,592,430)	(1,358,398)	(1,672,901)	(1,472,068)
Impairment charges for loans and other losses	74,078	(11,132)	74,078	(11,132)
Share of associate company's profit/(loss) before tax	-	-	(40,810)	(33,207)
Depreciation and amortisation	167,583	139,735	184,306	157,767
Profit from sales of real estate	(4,541)	(1,479)	(4,541)	(1,479)
Profit from sales of property & equipment and investment property	(27,387)	(15,012)	(27,387)	(15,012)
Dividend income from investment companies	(43,506)	-	-	-
Dividend income from financial assets	(2,705)	(1,017)	(2,727)	(1,060)
Contribution to defined benefit plans	42,000	42,000	45,000	45,000
Fair value change of financial assets	171,335	501,992	163,856	500,729
	(1,226,825)	(528,494)	(1,403,225)	(714,875)
Interest paid to customers at amortised cost	(1,550,916)	(1,520,944)	(1,550,916)	(1,520,944)
Interest paid on other borrowings	(895,006)	(388,823)	(898,380)	(393,774)
Interest received on loans & receivables at amortised cost	3,629,093	2,656,900	3,629,093	2,656,900
Interest received on other investment	537,762	678,121	621,607	796,742
Gratuity paid	(28,725)	(20,354)	(30,118)	(21,191)
Change in operating assets				
Loans & receivables at amortised cost	859,594	(6,175,239)	859,538	(6,172,324)
Other operating assets	173,769	(768,091)	259,192	(902,608)
Change in operating liabilities				
Due to customers at amortised cost	2,212,313	3,008,183	2,212,313	3,008,183
Payments made under operating leases	(134,191)	(114,402)	(151,102)	(131,319)
Insurance provision	-	-	(100,621)	151,703
Other liabilities	64,001	882,085	80,057	851,489
Net cash generated from/(used in) operating activities before tax	3,640,869	(2,291,058)	3,527,438	(2,392,018)
Income tax paid	(115,787)	(188,100)	(115,787)	(188,100)
Net cash generated from/(used in) operating activities	3,525,082	(2,479,158)	3,411,651	(2,580,118)
Cash flows from investing activities				
Net increase/(decrease) in financial investments at amortised cost	(621,332)	1,891,558	(472,034)	1,938,225
Net (increase)/decrease in placements with banks & financial institutions	-	150,000	(1,166)	193,688
Net (increase)/decrease in investment of government securities at FVTPL	1,561,006	(590,107)	1,561,006	(590,107)
Net (increase)/decrease in other financial investments at FVTPL	29,606	(57,950)	43,698	(69,799)
Proceeds from real estate stock	19,857	6,237	19,857	6,237
Purchase of property & equipment	(57,160)	(35,093)	(57,160)	(37,945)
Purchase of intangible assets	(292,690)	-	(292,690)	-
Proceeds from sale of property & equipment and investment property	32,190	15,012	32,190	15,012
Dividends received	46,211	1,017	46,233	1,060
Net cash generated from/(used in) investing activities	717,688	1,380,674	879,934	1,456,371
Cash flows from financing activities				
Net increase/(decrease) reverse repo agreements	(1,059,037)	2,253,058	(1,059,037)	2,253,058
Net increase/(decrease) in other borrowings at amortised cost	(2,553,000)	(940,000)	(2,553,000)	(940,000)
Net cash generated from/(used in) financing activities	(3,612,037)	1,313,058	(3,612,037)	1,313,058
Net increase / (decrease) in cash and cash equivalents during the period	630,733	214,574	679,548	189,310
Cash and cash equivalents at the beginning of the period	(211,020)	554,066	57,247	655,904
Cash and cash equivalents at the end of the period	419,713	768,640	736,795	845,214
Note				
Analysis of Cash and Cash Equivalents				
Cash and short term funds	788,777	868,579	1,108,525	946,226
Dues to banks	(369,064)	(99,939)	(371,730)	(101,012)
	419,713	768,640	736,795	845,214

Reporting entity

Merchant Bank of Sri Lanka & Finance PLC is a public quoted company incorporated and domiciled in Sri Lanka on 04 March 1982. The registered office and principal place of business of the Company is located at the Bank of Ceylon Merchant Tower, No. 28, St Michael's Road, Colombo 03. The shares of the Company are listed in the Colombo Stock Exchange.

The Directors confirm, the Company's parent enterprise and its ultimate parent enterprise is Bank of Ceylon.

The consolidated Financial Statements comprises of the Company, it's subsidiary: MBSL Insurance Company Ltd and it's interest in associate; Lanka Securities Ltd.

The consolidated Financial Statements for the period ended were authorized for issue on 13th August 2026, in accordance with the resolution of the Directors passed on 13th August 2026.

Basis of preparation and accounting policies

The interim condensed Financial Statements for the period ended 30th June 2026 have been prepared in accordance with LKAS 34 - 'Interim Financial Reporting'. The interim condensed consolidated Financial Statements do not include all the information and disclosures required in the annual Financial Statements, and should be read in conjunction with the Group's Annual Financial Statements.

There were no changes to the Accounting Policies and methods of computation since the publication of the last Annual Audited Financials except the Group changes its business model for managing its financial assets and financial liabilities.

All known expenses including fees and similar expenses have been provided in this Financial Statements.

Cap on Loans and Advances and Deposits

Due to non-compliance with regulatory Capital requirement, the Central Bank has imposed below restrictions with effect from 17 April 2026 until the Company becomes compliant.

- a) Cease granting loans & advances that would adversely affect the capital adequacy ratio. However, the Company may continue granting cash back loans, pawning advances, gold loans and other related loans secured by gold at a maximum loan to value ratio 70%.
- b) Cap the outstanding deposits at Rs. 35 bn (including interest payable on deposits).

The Company is in the process of complying with the regulatory requirement.

Measurement of Financial Instruments

Company	LKR.'000							
	Financial instrument at FVTPL		Financial instrument at amortised Cost		Financial instrument at FVTOCI		Total	
As at	6/30/2026	12/31/2025	6/30/2026	12/31/2025	6/30/2026	12/31/2025	6/30/2026	12/31/2025 (Audited)
Financial assets								
Cash and cash equivalents	-	-	788,777	618,703	-	-	788,777	618,703
Placements with banks & financial institutions	-	-	-	-	-	-	-	-
Financial investments at fair value through profit or loss	5,854,505	7,634,038	-	-	-	-	5,854,505	7,634,038
Loans & receivables at amortised cost	-	-	38,666,533	39,585,583	-	-	38,666,533	39,585,583
Financial investments at fair value through other comprehensive income	-	-	-	-	54	54	54	54
Financial investments at amortised cost	-	-	5,070,140	4,425,177	-	-	5,070,140	4,425,177
Other assets	-	-	57,674	160,310	-	-	57,674	160,310
Total	5,854,505	7,634,038	44,583,124	44,789,773	54	54	50,437,684	52,423,865

	LKR.'000			
	Other financial liabilities at amortised cost		Total	
	6/30/2026	12/31/2025	6/30/2026	12/31/2025 (Audited)
Other Financial liabilities				
Due to banks	10,837,452	14,889,904	10,837,452	14,889,904
Due to customers at amortised cost	34,174,849	31,792,758	34,174,849	31,792,758
Debt issued and borrowed funds at amortised cost	1,753,361	1,821,393	1,753,361	1,821,393
Other liabilities	59,956	77,908	59,956	77,908
Total	46,825,618	48,581,963	46,825,618	48,581,963

Group	LKR.'000							
	Financial instrument at FVTPL		Financial instrument at amortised Cost		Financial instrument at FVTOCI		Total	
As at	6/30/2026	12/31/2025	6/30/2026	12/31/2025	6/30/2026	12/31/2025	6/30/2026	12/31/2025 (Audited)
Financial assets								
Cash and cash equivalents	-	-	1,108,525	891,554	-	-	1,108,525	891,554
Placements with banks & financial institutions	-	-	456,786	452,254	-	-	456,786	452,254
Financial investments at fair value through profit or loss	5,871,291	7,652,964	-	-	-	-	5,871,291	7,652,964
Loans & receivables at amortised cost	-	-	38,667,843	39,586,838	-	-	38,667,843	39,586,838
Financial investments at fair value through other comprehensive income	-	-	-	-	109,980	126,834	109,980	126,834
Financial investments at amortised cost	-	-	5,552,127	5,051,559	-	-	5,552,127	5,051,559
Other assets	-	-	57,674	160,310	-	-	57,674	160,310
Total	5,871,291	7,652,964	45,842,955	46,142,515	109,980	126,834	51,824,226	53,922,313

	LKR.'000			
	Other financial liabilities at amortised cost		Total	
	6/30/2026	12/31/2025	6/30/2026	12/31/2025 (Audited)
Other Financial liabilities				
Due to banks	10,840,118	14,894,488	10,840,118	14,894,488
Due to customers at amortised cost	34,005,940	31,620,482	34,005,940	31,620,482
Debt issued and borrowed funds at amortised cost	1,753,361	1,821,393	1,753,361	1,821,393
Other liabilities	59,956	77,908	59,956	77,908
Total	46,659,375	48,414,271	46,659,375	48,414,271

Movement in individual and collective impairment during the period

	Company		Group	
	2026	2025	2026	2025
Impairment charge/(reversal) from loans and other losses				
Impairment from Loans and advances-individual impairment	(87,415)	(218,142)	(87,414)	(218,142)
Impairment from Loans and advances-collective impairment	123,158	(27,120)	123,158	(27,121)
Write off	38,335	234,161	38,335	234,161
Cash and cash equivalent	6	(9)	6	(9)
Placements with banks & financial institutions	-	(22)	-	(22)
	74,084	(11,132)	74,083	(11,132)
Individual impairment charge/(reversal)				
As at 01 January	1,137,888	1,737,290	1,655,176	1,737,290
Charge/(reversal) to income statement from loans and advances	(49,080)	16,019	(49,080)	16,019
Write off	(38,335)	(234,161)	(38,335)	(234,161)
As at 30th June	1,050,473	1,519,147	1,567,761	1,519,147
Collective impairment charge/(reversal)				
As at 01 January	592,289	671,041	1,087,042	671,041
Charge/(reversal) to income statement from loans and advances	123,158	(27,120)	123,158	(27,120)
Write off	-	-	-	-
As at 30th June	715,447	643,921	1,210,200	643,921
Loans and advances impairment	1,765,920	2,163,068	2,777,961	2,163,068

Segment Information

For management purposes, the Group is organised into business units based on their products and services, and has four reportable operating segments as follows:

- The Leasing segment includes providing Finance Leases and Hire Purchase facilities.
- The Loan segment includes providing personal loans, pawning, term loans, bill discounting, cheque discounting, micro finance and bank guarantees.
- Corporate advisory includes corporate advisory services and capital market activities.
- The insurance includes general and life insurance.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profit or loss which in certain respects.

The following table presents income, profit and asset information regarding the Group's operating segments for the period ended 30th June 2026 and comparative figures for the period ended 30th June 2025.

Group	Leasing		Loans		Corporate Advisory & Capital Markets		Insurance		Eliminations / Unallocated		Total	
For the Period ended 30th June	2026 LKR.'000	2025 LKR.'000	2026 LKR.'000	2025 LKR.'000	2026 LKR.'000	2025 LKR.'000	2026 LKR.'000	2025 LKR.'000	2026 LKR.'000	2025 LKR.'000	2026 LKR.'000	2025 LKR.'000
Revenue from external customers												
Interest and similar income	1,278,349	1,259,551	2,242,712	1,308,814	125,804	126,052	83,845	118,621	536,518	568,133	4,267,228	3,381,171
Interest and similar expenses	559,200	511,453	1,249,248	703,231	90,696	85,627	3,374	4,951	691,809	603,840	2,594,327	1,909,102
Net interest income	719,149	748,098	993,464	605,583	35,108	40,425	80,471	113,670	(155,291)	(35,707)	1,672,901	1,472,069
Net fee and commission income	12,424	52,811	13,442	27,134	98	-	18,616	15,698	37,176	(11,540)	81,756	84,103
Insurance premium income	-	-	-	-	-	-	141,101	150,432	-	-	141,101	150,432
Net claims and benefits	-	-	-	-	-	-	(190,341)	(204,972)	-	-	(190,341)	(204,972)
Real estate profit	-	-	-	1,479	-	-	-	-	-	-	-	1,479
Trading and other income	15,872	14,901	2,192	3,445	(19,829)	(9,936)	15,168	5,642	(134,110)	211,192	(120,707)	225,244
Total operating income	747,445	815,810	1,009,098	637,641	15,377	30,489	65,015	80,470	(252,225)	163,945	1,584,710	1,728,355
Impairment (charges)/reversal for loans and other losses	(26,685)	164,551	(47,393)	(9,805)	-	8,871	-	-	(6)	(152,485)	(74,084)	11,132
Net operating income	720,760	980,361	961,705	627,836	15,377	39,360	65,015	80,470	(252,231)	11,460	1,510,626	1,739,487
Personnel expenses	(166,374)	(199,611)	(371,677)	(274,458)	(6,367)	(5,983)	(75,150)	(81,748)	(226,444)	(263,103)	(846,012)	(824,903)
Depreciation and amortisation	(36,169)	(37,533)	(80,801)	(51,606)	(119)	(60)	(16,723)	(18,032)	(50,494)	(50,536)	(184,306)	(157,767)
Other operating expenses	(90,543)	(109,207)	(202,272)	(150,156)	(2,863)	(3,786)	(81,295)	(73,129)	(123,836)	(143,431)	(500,809)	(479,709)
Segment result	427,674	634,010	306,955	151,616	6,028	29,531	(108,153)	(92,439)	(653,005)	(445,610)	(20,501)	277,108
Profit/(loss) from operations after impairment from subsidiary investments											(20,501)	277,108
Value added tax on financial services											(125,042)	(169,739)
Social Security Contribution Levy (SSCL)											(17,367)	(24,990)
Share of associate company's profit/(loss) before tax											40,810	33,207
Profit/(loss) before income tax											(122,099)	115,586
Income tax expense											39,849	113,329
Profit/(loss) for the period											(82,250)	228,915
Assets												
Capital expenditures												
Property, equipment and right-of-use assets	12,337	9,426	27,560	12,960	2,001	1,578	-	2,852	15,262	11,129	57,160	37,945
Intangible assets	63,171	-	141,123	-	10,246	-	-	-	78,151	-	292,690	-
Total segment assets	10,756,958	12,298,425	26,196,234	18,348,260	1,713,341	1,872,359	1,949,552	2,353,518	13,420,411	12,290,633	54,036,496	47,163,195
Total segment liabilities	9,917,725	11,134,734	24,152,463	16,612,126	1,579,670	1,695,195	1,410,519	1,491,137	12,577,487	11,630,399	49,637,865	42,563,591

Information on Debentures

Debenture Categories	CSE Listing	Interest Payable Frequency	Face Value as at 30/6/2026	Market Values			Interest Rates		Interest rate of comparable Government Security %	Interest yield			Yield to Maturity		
			LKR' 000	Highest LKR	Lowest LKR	Period end LKR	Coupon Rate	Effective Annual Yield		Highest	Lowest	Last traded	Highest	Lowest	Last traded
Fixed Rate															
Nov 2022 - Nov 2027	Listed	Annually	23,990	Not traded during the quarter			24.00%	24.00%	9.70%	Not traded during the quarter			Not traded during the quarter		
Nov 2022 - Nov 2027	Listed	Bi Annually	32,880	Not traded during the quarter			23.50%	24.88%	9.70%	Not traded during the quarter			Not traded during the quarter		
Floating Rate															
Nov 2022 - Nov 2027	Listed	Quarterly	10,830	Not traded during the quarter			One Year Avg T Bill Rate + 300 basis points		9.70%	Not traded during the quarter			Not traded during the quarter		
Fixed Rate															
April 2023 - April 2028	Listed	Annually	276,660	Not traded during the quarter			29.50%	29.50%	10.29%	Not traded during the quarter			Not traded during the quarter		
April 2023 - April 2028	Listed	Bi Annually	255,140	Not traded during the quarter			28.00%	29.96%	10.29%	28.00%	28.00%	28.00%	27.79%	27.79%	27.79%
April 2023 - April 2028	Listed	At maturity	91,030	Not traded during the quarter			24.57%	24.57%	10.29%	Not traded during the quarter			Not traded during the quarter		
Fixed Rate															
May 2025 - May 2030	Listed	Annually	972,710	Not traded during the quarter			12.50%	12.50%	10.89%	12.50%	12.50%	12.50%	12.49%	12.47%	12.49%
May 2025 - May 2030	Listed	Bi Annually	27,290	Not traded during the quarter			11.75%	12.10%	10.89%	Not traded during the quarter			Not traded during the quarter		
Total Debentures			1,690,530												

All debentures are unsecured. Company has not repurchased any of its own debts and has not had any default of principal, interest or other breaches with regard to all liabilities during the period.

Debenture issue proceeds utilization as at 30th June 2026

No.	Objective as per the prospectus	Amount allocated as per prospectus	Date of Utilization	Amount allocated from proceed LKR (A)	% of Total Proceeds	Amount Utilized in LKR (B)	% of Utilization (B/A)	Clarification if not fully utilized
1	Issue of listed, unsecured, subordinated redeemable Debentures amounting LKR 67.7 Mn during the year 2022							
a.	The funds raised through this Debenture Issue utilized to increase the medium term fund base to match the medium to long term lending portfolio.					67,700,000	100%	N/A
b.	To enhance the Total Capital base of the Company, for which the Company has obtained approval from the Central Bank of Sri Lanka (CBSL).	67,700,000	16-Nov-22	67,700,000	100%	27,080,000	40%	Discounting of the amount counted as capital by 1/5 each year during the four years preceding the maturity.
2	Issue of listed, unsecured, subordinated redeemable Debentures amounting LKR 622.83 Mn during the year 2023							
a.	The funds raised through this Debenture Issue utilized to meet the regulatory capital requirements of the company (tier II)					249,132,000	40%	Discounting of the amount counted as capital by 1/5 each year during the four years preceding the maturity.
b.	To reduce the maturity mismatch by increasing the mediam term fund base to match the medium to long term lending portfolio of the company.	622,830,000	10-Apr-23	622,830,000	100%	622,830,000	100%	N/A
3	Issue of listed, unsecured, subordinated redeemable Debentures amounting LKR 1,000 Mn during the year 2025							
a.	The funds raised through this Debenture Issue utilized to meet the regulatory capital requirements of the company (tier II)					800,000,000	80%	Discounting of the amount counted as capital by 1/5 each year during the four years preceding the maturity.
b.	To enhance the Lending Portfolio of the Company	1,000,000,000	30-May-25	1,000,000,000	100%	1,000,000,000	100%	N/A

Events after the statement of financial position date

Mr. W. P. R. P. H. Fonseka has been appointed as Chief Executive Officer (CEO) of MBSL with effect from 2nd July 2026.

Information on ordinary shares

As at		6/30/2026	12/31/2025
Net asset per share (LKR)	- Company	7.81	7.88
	- Group	7.91	8.13

Market price per share recorded during the quarter ended 30th June (LKR)	2026	2025
-High	14.70 (5-5-2026)	8.30 (27-6-2025)
-Low	10.70 (7-4-2026)	5.40 (7-4-2025)
-Last Transaction	13.00 (30-6-2026)	7.70 (30-6-2025)

As at	6/30/2026	12/31/2025
Number of shares issued	524,539,637	524,539,637
Stated capital (LKR)	4,276,447,883	4,276,447,883

Ratios as at	6/30/2026	12/31/2025
Debt/Equity Ratio*	3.1	4.0
Statutory Liquid Asset Ratio	13.87%	12.34%

*Debt to Equity Ratio has been computed without considering Due to Customers balances.

Ratios for the period ended	6/30/2026	6/30/2025
Interest Cover	0.996	1.091

The Float adjusted market capitalization as at 30th June 2026 - Rs. 1,056,842,436

The Float adjusted market capitalization of the Company falls under Option 2 of Rule 7.13.1 (i) (b), of the Listing Rules of the Colombo Stock Exchange and upon being transferred to the Diri Savi Borad of the CSE w.e.f. 26th April 2023, the Company is now compliant with the minimum public holding requirement.

Upgrading of Rating

On 24th January 2025, Fitch Ratings has upgraded the National Long-Term Ratings of the Company to 'A(Ika)' from 'BBB+(Ika)'; Outlook Stable.

Twenty largest share holders as at 30th June 2026

	Name of the share holder	No. of Shares	Holding %
01	BANK OF CEYLON NO. 1 ACCOUNT	401,577,367	76.56%
02	BOC PROPERTY DEVELOPMENT & MANAGEMENT (PVT) LTD	41,666,682	7.94%
03	BANK OF CEYLON A/C CEYBANK UNIT TRUST	11,798,960	2.25%
04	MR. A. M. WEERASINGHE	3,227,403	0.62%
05	HATTON NATIONAL BANK PLC/MR. D.N. SELLAMUTTU	2,907,670	0.55%
06	PMF FINANCE PLC/MR. R.A. NIRANJANA	1,442,289	0.27%
07	HATTON NATIONAL BANK PLC/MR. W. JINADASA	1,371,008	0.26%
08	PEOPLE S LEASING AND FINANCE PLC/MR. B.A.D.H.C. MAHIPALA	1,178,375	0.22%
09	MR. K.D.N.A. KARUNATHILAKE	1,150,000	0.22%
10	MR. B.T. PRATHAPASINGHE	1,121,250	0.21%
11	CITIZENS DEVELOPMENT BUSINESS FINANCE ACCOUNT NO. 1	1,094,000	0.21%
12	DFCC BANK PLC/MR. W.JINADASA	1,000,000	0.19%
13	MR. A.H. MUNASINGHE	950,000	0.18%
14	MR. R.R.S. ANANDA	784,246	0.15%
15	MR. K.B.R.R. KARIYAWASAM	735,000	0.14%
16	MR. S. GURUSINGHE	700,000	0.13%
17	DIALOG FINANCE PLC/MR. K.W.J.P.L. PERERA	593,725	0.11%
18	MR. H.G.D.R.D.K. JAYAWARDANA	581,285	0.11%
19	CITIZENS DEVELOPMENT BUSINESS FINANCE PLC/MR. F.H.T.C.SILVA	574,917	0.11%
20	MR. U.G.S. SANDARUWAN	574,098	0.11%

The percentage of shares held by the public as at 30th June 2026 was 15.50% and the number of public shareholders as at 30th June 2026 were 11,834

Directors' shareholding as at 30th June 2026

Name of the Director	No. of Shares
Mr. A. M. A. Perera	Nil
Mr. G. A. Jayashantha	Nil
Mr. R. M. N. Jeewantha	Nil
Mr. H. P. K. Silva	Nil
Ms. R. Dulani Fernando	Nil
Mr. A. J. Ismail	Nil
Mr. R. L. S. A. Rajapakse	Nil
Mr. H. M. P.B. Herath	Nil

CEO's shareholding as at 30th June 2026

Mr. H. K. D. W. M. D. K. Hapuhinna	Nil
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